Chapter summary

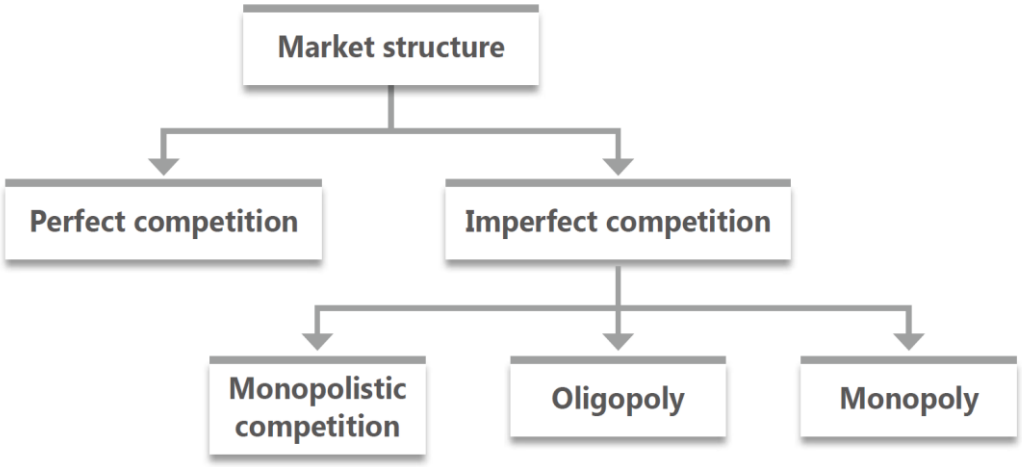
Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

12.1 Market

Meaning of market

- **Market** is any arrangement where transactions or exchanges take place.
- A market can exist without a physical location for transactions to take place.

Classification of markets



12.2 Types of Market Structures

Perfect competition

- Features of perfect competition:
  - Large number of sellers
  - Homogeneous product
  - Free entry and exit
  - Perfect information
  - Price taker
  - No non-price competition

- Two goods are considered homogeneous as long as they are the same from the buyers' point of view. They may not be identical.
- The market price can still change in a perfectly competitive market as it is determined by the market demand and market supply.

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Monopolistic competition

- Features of monopolistic competition:
  - Large number of sellers
  - Heterogeneous products (differentiated products)
  - Free entry and exit
  - Imperfect information
  - Price searcher
  - Price competition and non-price competition

Oligopoly



Apart from a few dominant sellers, there may be a large number of small firms in an oligopoly

- Features of oligopoly:
  - Several dominant sellers
  - Interdependence of firms
  - Homogeneous or heterogeneous products
  - Barriers to entry
  - Imperfect information
  - Price searcher
  - Non-price competition

Monopoly



- A monopolist's profit can be negative as it also bears business risks.
- A monopolist does not necessarily sell only one good. It can sell various goods while being the only seller of these goods in the market.

- Features of monopoly:
  - Single seller
  - No close substitute
  - Barriers to entry
  - Imperfect information
  - Price searcher
  - Non-price competition

- Sources of monopoly power:
  - Government franchise
  - Government ownership
  - High set-up costs and natural monopoly
  - Ownership of superior resources
  - Patent and copyright
  - Cartel and integration

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